

MASTER COMMERCIAL INDEMNITY, CONFIDENTIALITY
AND ASSET-CUSTODY AGREEMENT

THIS AGREEMENT is made and executed on the 7th day of September, 2026

BETWEEN	MERIDIAN ARC INFRASTRUCTURE PRIVATE LIMITED, a fictional company incorporated for this educational specimen, having i
AND	NORTHSTAR MERCANTILE SYSTEMS PRIVATE LIMITED, a fictional company having its purported office at 18 Crown Exchange

RECITALS

- A. WHEREAS the Principal desires to engage the Counterparty for the custody, procurement, verification and controlled release of certain commercial assets, records, monies and documentation, and whereas the Counterparty represents that it possesses the competence, personnel, systems and fiduciary discipline necessary to undertake the same;
- B. AND WHEREAS the Parties, being desirous of reducing into a single instrument the several understandings, representations, safeguards and consequences which might otherwise remain scattered among correspondence, oral assurances, invoices and ancillary memoranda, have agreed that this Agreement shall constitute the entire contractual architecture governing the Transaction;
- C. AND WHEREAS the Parties acknowledge that the language of this Agreement is intended to be legally operative notwithstanding its deliberately elaborate drafting style, and that no ambiguity shall be manufactured merely because an ordinary reader finds the syntax inconvenient;
- D. NOW THEREFORE, in consideration of the mutual covenants herein contained, the Parties hereby agree as follows.

Historical-law note: References in this fictional contract to the Indian Penal Code, 1860 are included because this is an IPC-oriented document-analysis specimen. IPC Section 420 historically addressed cheating and dishonestly inducing delivery of property; the present document does not purport to create a private criminal offence or alter statutory law. ■cite■turn0search12■turn0search1■

Contract No.: MAI/NMS/07-2026 Effective Date: 07 September 2026

1. DEFINITIONS AND CONSTRUCTION

- 1.1 "Assets" means, collectively and without limitation, machinery, equipment, documents, title papers, invoices, digital records, funds, instruments, passwords, credentials, correspondence and every tangible or intangible item placed under the custody or control of the Counterparty pursuant to this Agreement.
- 1.2 "Confidential Information" means all information which, whether communicated orally, electronically, visually or in documentary form, is identified as confidential or which, by reason of its character, commercial sensitivity or the circumstances attending its disclosure, ought reasonably to be understood as confidential.
- 1.3 "Transaction" means the contemplated procurement and custodial arrangement, together with every amendment, extension, substitution, side-letter, operational instruction or implementation step executed pursuant hereto.
- 1.4 Words importing the singular shall include the plural and vice versa; references to a person include a body corporate; headings are for convenience only and shall not control interpretation; and the expression "including" shall mean "including without limitation".

2. APPOINTMENT AND SCOPE OF ENGAGEMENT

- 2.1 The Principal hereby appoints the Counterparty, and the Counterparty accepts such appointment, to perform the Services with that degree of diligence, fidelity, prudence and documentary exactitude which a commercially reasonable fiduciary custodian would ordinarily be expected to exercise, save that no implication of statutory trusteeship is intended unless independently imposed by law.
- 2.2 The Counterparty shall neither sell, pledge, encumber, divert, transfer, conceal, commingle, alter, destroy nor otherwise deal with any Asset except pursuant to an express written instruction of the Principal or where such dealing is mandatorily required by applicable law.
- 2.3 Any instruction apparently emanating from an authorised representative shall, where commercially practicable, be verified through the designated authentication channel. The Counterparty shall not rely upon a document merely because it bears an apparently genuine signature where surrounding circumstances furnish objectively reasonable grounds for doubt.
- 2.4 The Parties agree that time, sequence and documentary provenance may be material where an Asset is released, substituted or transferred, and accordingly each material action shall be recorded in a contemporaneous audit trail.

3. CONSIDERATION AND PAYMENT

- 3.1 In consideration of the Services, the Principal shall pay the Counterparty a fee of INR 18,75,000 per Contract Year, exclusive of applicable taxes, subject to the invoicing and reconciliation mechanism set out in Schedule I.
- 3.2 No invoice shall become conclusive merely by lapse of time if it contains a demonstrably false description, duplicate claim, fabricated supporting document or material omission knowingly introduced for the purpose of obtaining payment.

4. REPRESENTATIONS, WARRANTIES AND COVENANTS

- 4.1 Each Party represents, warrants and undertakes, on a continuing basis, that it possesses full corporate authority to execute and perform this Agreement and that the execution hereof has not been procured by coercion, fraud, undue influence, concealment of a material fact or any other circumstance which would render the apparent consensus of the Parties juridically illusory.
- 4.2 The Counterparty warrants that no statement, certificate, invoice, delivery note, inventory record or confirmation furnished by it shall knowingly contain a false representation of a material fact.
- 4.3 Without prejudice to any civil or contractual remedy, where a Party knowingly fabricates, falsifies, suppresses or manipulates a material record with the purpose of deceiving the other Party or dishonestly inducing the delivery, retention or transfer of property, the conduct may be referred to the competent authorities and may, depending upon the facts and applicable law, engage historical IPC provisions concerning cheating, breach of trust, forgery or use of forged documents. Nothing herein constitutes an agreement to predetermine criminal liability.
- 4.4 The Parties acknowledge that a mere breach of contract is not, by itself, converted into a criminal offence by contractual wording; criminal liability, if any, depends upon the statutory ingredients independently established under applicable law. This clause is intentionally framed to preserve that distinction. ■cite■turn0search8■

5. CUSTODY, ENTRUSTMENT AND FIDUCIARY-LIKE OBLIGATIONS

- 5.1 Where possession of any Asset is delivered to the Counterparty for a limited purpose, such possession shall not, by reason merely of physical custody, constitute beneficial ownership. The Counterparty shall maintain a clear evidentiary separation between property belonging to the Principal and property belonging to itself.
- 5.2 Any unauthorised appropriation, conversion, disposal or use of entrusted property, if accompanied by the requisite dishonest intention and otherwise satisfying the statutory ingredients, may constitute conduct corresponding to the historical concept of criminal breach of trust under Sections 405–409 IPC. Section 406 prescribed punishment for criminal breach of trust. ■cite■turn0search0■turn0search2■
- 5.3 The Counterparty shall maintain serialised custody records, dual-authorisation logs and monthly reconciliation statements. Any discrepancy exceeding INR 25,000 shall be notified within two Business Days of discovery.

6. DOCUMENT INTEGRITY AND RECORD RETENTION

- 6.1 No Party shall knowingly create, alter, backdate, conceal, destroy or deploy as genuine any document or electronic record which it knows to be materially false and which is intended to influence the contractual rights, obligations or financial position of the other Party.
- 6.2 Records shall be retained for seven years following expiry or termination, unless a longer period is required by applicable law, litigation hold, regulatory requirement or written notice reasonably identifying a dispute.

7. CONFIDENTIALITY AND NON-DISCLOSURE

- 7.1 Each Party shall hold Confidential Information in strict confidence and shall disclose the same only to those officers, employees, professional advisers and subcontractors who have a demonstrable need to know and who are bound by confidentiality obligations no less protective than those contained herein.
- 7.2 The obligation shall not apply to information which the receiving Party proves was lawfully known before disclosure, independently developed without use of the disclosing Party's Confidential Information, or lawfully obtained from a third party without breach of confidence.
- 7.3 Where disclosure is compelled by law, the receiving Party shall, to the extent legally permissible, provide prior notice and disclose no more than the minimum information reasonably necessary to comply.

8. INDEMNITY — DELIBERATELY COMPREHENSIVE

- 8.1 The Counterparty shall indemnify, defend and hold harmless the Principal, its directors, officers and authorised representatives from and against losses, liabilities, claims, reasonable legal costs and expenses arising directly from the Counterparty's material breach, wilful misconduct, fraud, gross negligence or unauthorised disposition of Assets.
- 8.2 For avoidance of doubt, the indemnity shall not be interpreted as a contractual confession of criminal conduct, nor shall any indemnified sum constitute a penalty imposed by private agreement. The Parties expressly preserve the distinction between compensatory liability and public criminal law.
- 8.3 Where a loss arises from several causative events, the recoverable amount shall be determined according to applicable principles of causation, remoteness, mitigation and proof, notwithstanding the Parties' intentionally exhaustive enumeration of possible circumstances.
- 8.4 No Party shall be liable for a consequence which could not reasonably have been contemplated as a consequence of the relevant breach, except to the extent liability cannot lawfully be excluded.

9. DEFAULT AND CURE

- 9.1 A material breach shall trigger written notice specifying the nature of the default and, where capable of cure, a period of fifteen Business Days within which cure shall be effected.
- 9.2 No cure period shall be required for fraud, deliberate destruction of evidence, unauthorised transfer of Assets, intentional falsification of records, or conduct which creates an immediate and material risk of irreversible loss.

10. EVENTS OF DEFAULT AND TERMINATION

10.1 Each of the following shall constitute an Event of Default: (a) material non-performance; (b) insolvency or analogous proceedings; (c) unauthorised dealing with Assets; (d) deliberate falsification of material records; (e) material misrepresentation; or (f) repeated failure to maintain mandatory reconciliations.

10.2 Upon an Event of Default, the non-defaulting Party may, without prejudice to accrued rights, suspend further performance, require immediate return of Assets, terminate this Agreement, and pursue such contractual or statutory remedies as may be available.

10.3 Termination shall not extinguish obligations which by their nature survive termination, including confidentiality, record retention, indemnity, dispute resolution, payment of accrued amounts and obligations concerning property belonging to the other Party.

11. FRAUD, MISREPRESENTATION AND IPC-RELATED PROTECTIVE COVENANT

11.1 The Parties acknowledge that contractual representations are intended to be relied upon only insofar as they are accurate, complete in all material respects and not rendered misleading by omission of a fact which, in the circumstances, the representing Party is contractually obliged to disclose.

11.2 If a Party knowingly makes a materially false representation for the purpose of dishonestly inducing the other Party to deliver money, property or a valuable security, such conduct may, depending upon proof of all statutory elements, fall within the historical formulation of Section 420 IPC. The historical section carried imprisonment of up to seven years and fine. ■cite■turn0search1■

11.3 Nothing in this clause shall be construed as an attempt to create an offence by contract, predetermine the outcome of criminal proceedings, reverse any burden of proof, or replace the jurisdiction of a competent court.

11.4 The Parties further acknowledge that the existence of a contractual promise followed by non-performance does not, without the requisite dishonest intention and other statutory ingredients, automatically establish cheating. ■cite■turn0search8■

12. AUDIT AND INSPECTION

12.1 Upon reasonable notice, the Principal may inspect records reasonably necessary to verify compliance, subject to confidentiality and data-protection requirements.

12.2 Where an audit identifies a discrepancy, the Counterparty shall provide supporting records, explanations and corrective measures. Any disagreement shall be documented rather than retrospectively rewritten.

13. LIMITATION OF LIABILITY

13.1 Except for fraud, wilful misconduct, unauthorised appropriation of Assets, breach of confidentiality, or liabilities which cannot lawfully be limited, neither Party shall be liable for indirect or consequential loss to the maximum extent permitted by law.

13.2 Nothing in this Agreement shall exclude liability to the extent such exclusion is prohibited by applicable law, nor shall any limitation be interpreted so as to immunise conduct which the law independently treats as unlawful.

14. FORCE MAJEURE

14.1 Neither Party shall be liable for failure caused by events beyond its reasonable control, including natural disaster, war, civil disturbance, governmental prohibition, widespread infrastructure failure or comparable event, provided that the affected Party promptly notifies the other and takes commercially reasonable steps to mitigate.

14.2 Force majeure shall not excuse obligations to safeguard, account for, or return property already entrusted to a Party where performance of those obligations remains reasonably practicable.

15. DISPUTE RESOLUTION AND ARBITRATION

15.1 The Parties shall first endeavour to resolve any dispute through good-faith negotiation between senior representatives.

15.2 If unresolved within thirty days, the dispute shall be referred to arbitration by a sole arbitrator mutually appointed by the Parties, with the seat of arbitration in the fictional city of Aurelia. The proceedings shall be conducted in English.

15.3 Nothing herein prevents a Party from seeking urgent interim relief from a court of competent jurisdiction where such relief is legally available.

15.4 The arbitral tribunal shall determine contractual disputes in accordance with the governing law specified herein, while questions of criminal liability, public prosecution and statutory offences shall remain matters for competent public authorities and courts.

16. GOVERNING LAW

This Agreement shall be governed by the laws of India. References to the historical IPC are interpretive and illustrative only; they do not purport to state that the IPC remains the operative criminal code for post-repeal conduct.

17. NOTICES

Every notice shall be in writing and delivered by hand, recognised courier or authenticated electronic communication to the designated representatives. A notice shall be deemed received according to the method and evidence of delivery established by applicable law.

18. GENERAL PROVISIONS

18.1 Entire Agreement. This Agreement, together with its Schedules and expressly incorporated written amendments, constitutes the entire agreement between the Parties concerning its subject matter and supersedes prior proposals, discussions and understandings, whether oral or written.

18.2 Amendment. No amendment shall be effective unless recorded in writing and executed by authorised representatives of both Parties.

18.3 Waiver. No failure or delay in exercising a right shall constitute a waiver unless expressly recorded as such in writing.

18.4 Severability. If any provision is held invalid, illegal or unenforceable, the remaining provisions shall continue to the fullest extent permissible, and the invalid provision shall, where legally possible, be construed or modified only to the minimum extent necessary to render it enforceable.

18.5 Assignment. Neither Party shall assign this Agreement without prior written consent, except to a successor by operation of law or corporate reorganisation where the successor assumes the relevant obligations.

18.6 Counterparts and Electronic Execution. This Agreement may be executed in counterparts and by legally recognised electronic means, each counterpart constituting an original and all counterparts together constituting one instrument.

SCHEDULE I — COMMERCIAL PARTICULARS

Item	Agreed Particular
Contract Year	07 Sep 2026 – 06 Sep 2027
Annual Service Fee	INR 18,75,000 plus applicable taxes
Security Deposit	INR 5,00,000
Reconciliation Cycle	Monthly, by the 7th Business Day
Notice Period for Ordinary Termination	60 days
Arbitration Seat	Aurelia, India (fictional)

IN WITNESS WHEREOF

The Parties, intending to be legally bound, have caused this Agreement to be executed by their duly authorised representatives on the date first written above. The Parties acknowledge that the elaborate drafting style is not intended to enlarge, diminish or otherwise distort any right or obligation beyond what is legally enforceable.

For MERIDIAN ARC INFRASTRUCTURE PVT. LTD.

For NORTHSTAR MERCANTILE SYSTEMS PVT. LTD.

Name: Arjun Varma

Designation: Authorised Signatory

Date: 07 September 2026

Seal: _____

Name: Nikhil Rao

Designation: Authorised Signatory

Date: 07 September 2026

Seal: _____

FICTIONAL / EDUCATIONAL SPECIMEN — NOT AN ACTUAL CONTRACT AND NOT A SUBSTITUTE FOR LEGAL ADVICE.